

main market took a beating, with the Sensex plunging 477 points and the Nifty, 124 points.

Mid-cap stocks suffered even more, especially the stocks in which there was a huge build-up of futures and options positions. Too many weak players had taken up positions in the derivatives segment, lured by easy returns when stock prices were rising almost every other day. Unlike in the cash market, traders betting on futures and options had to pay just 25-30 per cent of the total value of their positions. When the market was racing north, the returns on investment in F&O were much higher compared with those in the cash market.

But when prices fell sharply, these players had to square off their positions in a hurry. They could pay additional margins and hold on to their positions, but few traders had the resources to cough up margin money during a crisis. Brokers started liquidating positions of clients who were unable to deposit additional margins. This added to the pressure on stock prices and set off a vicious cycle wherein falling prices forced many more weaker players to sell out their positions.

I had by now got out of nearly 90 per cent of my long positions, even taking losses on some of them towards the end. Somewhat cautiously, I had begun short-selling Nifty futures. Still, I was not confident enough to go short on the market in a big way.

That evening (the first day of the Reliance Power IPO) as I was chatting up one of my friends at a prominent retail broking house, he said something that made me prick u my ears.

‘The craze for R-Power is unbelievable; most of my clients have withdrawn every rupee in their trading account to subscribe to the issue,’ he said.

Clients usually keep some extra funds with their brokers. This could be a safeguard against sudden margin calls, if they were regular traders, or it could help them buy a stock at short notice if it was available for a bargain.

The market was beginning to overheat, and a correction looked imminent. Prices of many stocks had more than doubled or, in some cases, even trebled in less than six months. My gut feeling was that the market had changed course. But I needed more indications to confirm this. I called a few more of my contacts at other retail broking houses to check if their clients too were acting the same way. Sure enough, they too had the same